WHERE WE ARE

Last week a company faced a decision the law could not settle. This week you find out what a company actually is — and yours becomes real.

Two traditions build the world's law. Both of them build persons: companies that own, owe, sign and get sued. Today you learn who acts when "a company" acts, what the form permits, where the loss lands when paper and behaviour disagree — and then your board opens the file on its own company's first fight.

Block	What we do	How it runs
A	Quiz — this week's reading	The course's first graded quiz, on the Week 2 pre-class deck. AI prohibited.
B	The argument	Three friends, a signature that came too early, and a company that did not exist yet. AI off.
C	Your company's file	The first dossier: read it as a board, sort the extracts, then research with AI as research assistant — tagging every rule with its jurisdiction.
D	The decision and the defence	Paper only. Questions you have not seen, a development from this morning, and your board's decision — with conditions.

WHAT BEGINS TODAY

The four-block rhythm, the dossier, the posture chairs, and the first handwritten "Ask AI, then disagree" paragraph — all promised last week, all live from this morning.

THE THREAD TO WEEK 3

Today fixes what your company **is**. At the close, your board decides what it **sells** — and next week that product meets its first regulator.

TWENTY MINUTES, INDIVIDUAL, ON K2

The first quiz of the course — and it covers this week's pre-class deck.

The two traditions and how each builds law; the company as a separate person and what that buys; the families of legal forms, their organs, and the line between what needs approval inside and what binds outside.

COVERAGE 1

Two traditions

Codes against precedent; the judge's role; ratio and obiter; jurisprudence constante; mixed systems and the at-a-glance table.

COVERAGE 2

The person

Separate personality and Salomon; limited liability as a bargain; perpetual succession; where the veil holds and the narrow places it fails.

COVERAGE 3

Forms & organs

The civil and common families of forms; birth by registration; organs and the internal/external line; constitution against shareholders' agreement.

THE CONVENTION, FROM DAY ONE

The quiz covers **this** week's pre-class deck — every week, the deck you read for today is the deck you are tested on today.

WHEN THE QUIZ CLOSES

Devices away. Block B runs screens down and AI off. The story you are about to argue has no answer printed anywhere — and this week you will feel why the room needs the machine off to find its own.

A STORY THAT HAPPENS EVERY WEEK, EVERYWHERE

*In October, three friends — **Lena, Marco and Priya** — agree to start a venture. They call it **Ember**. They open a group chat, split the roles, and shake hands on equal thirds. In November, a supplier offers Lena favourable terms if she commits before month-end; she signs a supply order worth **40,000** — signature block: "Lena Vasseur, for Ember." In December the three register Ember as a company, everything by the book. In January the goods arrive and the business opens. By March, half the order is paid, the company's account holds **1,200**, and the supplier writes asking who, precisely, will be paying the rest.*

Lena says: "The company owes it — the order was always for Ember." Marco says: "We never approved that order, and in November there was no company to approve anything." The supplier says: "Somebody signed. Somebody owes." Who is right — and does it matter that everyone acted in good faith?

Push further: in November, was there any "Ember" at all — and if not, what exactly did Lena's signature do?

— No answer is handed to you. Argue it from your reading; be ready to defend where you land.

THE METHOD, INSTALLED

Actor. Form. Liability. Then decide — with conditions.

Every entity dispute in this course, including the ten your boards open after the break, is worked in the same four moves. Last week you argued from chairs; this week the chairs get a method.

1 · Name the actor

Who did this — a person, the company, or an organ of it? A signatory is not always the company.

2 · Fit the form

What does this company's form, under its own national law, actually permit here — and in which document does the rule live?

3 · Place the liability

When paper and behaviour disagree, somebody absorbs the loss. Say who, and what rule puts it there.

4 · Decide, with conditions

The board's decision — and the ratification, amendment or verification that must come with it.

WHY THE ORDER MATTERS

Move 1 is the move everyone skips: "the company decided" is a sentence that hides three questions — which organ, with what power, carried by whose signature. A board that starts at Move 3 is arguing about a loss before it knows whose act created it.

THE RULE THIS WEEK RUNS ON

Companies are persons the law builds, and the formalities are the construction. Everything a company can do for you — own, owe, shield, survive — it does because the paperwork is load-bearing. Today you will read ten files in which somebody treated one formality as decoration.

FROM THE FILE

The November order, clause by clause, is ordinary. The signature block reads: ***"Lena Vasseur, for Ember."*** *On the date of signature Ember was a name in a group chat: no registration, no filing, nothing anywhere in public. The supplier's sales manager later says: "We deal with new ventures constantly. She said the company was being set up. That is what 'for' means." Lena's message to the chat that evening: "locked in the supplier — great terms. we'll put it through the company once it exists."*

Name every candidate for "the actor" in that signature — Lena, Ember, the three founders together — and eliminate them one by one. Who is left?

If your answer is "Ember," explain how a person that did not exist did anything. If your answer is "Lena," explain what the words "for Ember" accomplished — anything at all?

Push further: should the law let the December registration reach backwards and rescue the November signature? What would each answer do to suppliers' willingness to deal with new ventures?

— Argue it before the reading. The reading is one slide away, and it will not fully settle it.

BEFORE THE BIRTH, NOBODY IS HOME

Registration is constitutive. Before it, "the company" is a hope with a logo.

FROM YOUR READING A company exists from its register entry or certificate — not from the founders' agreement, the name, or the intention. A person who signs for a company not yet formed is, by default everywhere, **personally bound**: a non-existent principal can grant no authority, so the signature holds the signer. The traditions then differ on the cure — how, once born, the company may adopt or assume the obligation, and through which organ.

In the story

"For Ember," signed in November; Ember born in December; goods delivered to and half-paid by the company in January.

The reading

November's actor is Lena — the only legal person at the table. The open question is whether the company's later conduct (taking delivery, part-paying) amounts to assumption under its own law, and whether whoever performed that conduct had the power to assume anything.

Civil bank

Code systems typically provide an express mechanism: the acting person is liable; the company may take over the obligation after registration, with formalities. Certainty by procedure.

Common bank

Case-grown answers: the signer is bound; a company cannot "ratify" an act done before it existed, so a fresh adoption — a new contract on the old terms, or conduct amounting to one — is required. Certainty by doctrine.

THE UNCOMFORTABLE PART

Both banks protect the supplier by holding **Lena** — the person who chose to sign early. The law's sympathy for good-faith enthusiasm is real, and it is expressed as a rule about who pays for it.

FROM THE FILE

December's registration used the registry's standard constitution — nobody changed a word, nobody read one either. The three founders did agree something, in the group chat, the same week: "rule for us three: nothing over 10k without all of us signing off." In February the supplier offered a renewal at triple volume, one week only. Lena — the only founder in the office — signed it alone: ***"Ember, by Lena Vasseur, director."*** *This time the company existed, and this time Marco's objection is different: "We had a rule. It's in writing. She broke it." Lena's answer: "The rule is in a chat. My name is on the register."*

Two documents claim to govern: the constitution they filed and never read, and the pact they wrote and never filed. Which one decides whether the company is bound — and which one decides whether Lena is in trouble?

The supplier saw neither document. Should that matter? Should it matter more or less than it did in November?

Push further: the founders had a real agreement, made in good faith, and it may govern nothing that counts. What would they have had to do to make their rule real — and why does the law demand that extra step?

— The reading follows. Notice that your instinct about which document "should" win is your tradition speaking.

THE RULE IS ONLY AS STRONG AS THE DOCUMENT IT LIVES IN

Constitution, statute, private pact — three homes for a rule, three completely different powers.

FROM YOUR READING A company's constitution binds the company and every member; a private agreement binds only its signatories; and the statute's defaults govern everything the founders never wrote — which, for founders who adopt a standard constitution unread, is nearly everything. The internal/external line then does the rest: rules about approval live inside; the power to bind outsiders is decided by the register (civil bank) or by authority and its appearance (common bank).

In the story

A filed constitution nobody read; a 10k rule in a chat; a register naming Lena a director; a supplier that saw only the signature.

The reading

The chat pact is, at best, an informal shareholders' agreement: real between the three, invisible to the company's constitution and to the world. The renewal's fate turns on what the unread constitution and the statute's defaults gave a single director — not on the rule the founders believed in.

Civil bank

If the register shows Lena with power of representation, the company is bound; the 10k rule operates inward only. The register is the promise strangers may trust.

Common bank

A sole director signing in the ordinary course carries actual or apparent authority; outsiders may assume internal rules were followed and are not fixed with notice of a constitution, let alone a chat.

THE UNCOMFORTABLE PART

The founders' most sincere agreement is their least effective document — because they put it where the law cannot see it. The fix was always available: write the rule into the constitution. It costs one filing, and this morning it would have been priceless.

FROM THE FILE

*The supplier's letter arrives in March, addressed to the company and copied to all three founders: the November balance and the February renewal, totalled. The company's account holds **1,200**. Lena has savings — she sold an apartment last year. Marco and Priya contributed **5,000** each at registration and, in Priya's words, "that was the deal: we risk what we put in." The supplier's view, delivered by phone: "Three healthy adults started a business, took my goods, and are pointing at an empty box. Somewhere in that arrangement is my money."*

Take each debt separately — November's order, February's renewal — and place it: on the company, on Lena, on all three founders? Does the answer differ between the two debts, and why?

Priya's sentence — "we risk what we put in" — is the entire theory of limited liability. Say it back to the supplier's face. Does it survive?

Push further: if the box being empty is enough to defeat the supplier, why would anyone ever supply a young company? And if it is not enough, what was the shield for?

— This is the week's judgment question wearing a small company's clothes. The reading names the machinery; it will not do the judging.

THE SHIELD HOLDS — AND THE DIRECT ROUTES GO AROUND IT

Nobody needs to break the veil to reach the person who actually acted.

FROM YOUR READING Limited liability means members risk their contribution — Priya's sentence is good law. Courts set personality aside only narrowly: fraud, evasion, pure façade. But most recovery never touches the veil, because the law offers **direct routes**: the person who signed before the birth is personally bound; the company is bound by acts within its representatives' external power; and the insider who broke an internal rule answers **inward**, to the company itself.

In the story

November: Lena signed for a company that did not exist. February: a registered director signed within her external power. March: an empty account and three theories of fairness.

The reading

November's debt sits on Lena unless the company validly assumed it. February's debt sits on the company — thin account and all — with a live inward question against Lena for breaking the 10k pact. Marco and Priya keep the shield: no fraud, no façade, no signature.

In the story

The supplier: "somewhere in that arrangement is my money."

The reading

Partly true, and precisely mapped: some of it is with Lena, some with a company that cannot pay yet, none with the two who only contributed. Suppliers who dislike that map have always had the answer the law leaves open — ask for a guarantee before delivering. Watch that thought: it returns in eight minutes.

THE UNCOMFORTABLE PART

The placement is coherent and it still leaves an unpaid supplier facing a shielded majority. The law has chosen its loser and can say why. Whether the choice is *right* is Week 1's question, permanently open — and your board sits inside it all term.

FROM THE FILE · THE OFFER ON THE TABLE

*The supplier proposes, in writing, open for one week: it will **release Lena personally** from the November debt and **cut the February renewal by a third** — if Ember signs a **two-year exclusive** supply commitment at agreed volumes, and if **all three founders personally guarantee** every sum owed under it. The covering note is friendly: "We back young companies. We just need the people behind this one to stand behind it too."*

Decide, as Ember's board: accept, reject, or counter. Not a mood — a decision, with the conditions attached that make it survivable.

Price each term separately: what is Lena's release worth, and to whom? What does the discount cost over two years of exclusivity? And the guarantees — what exactly do Marco and Priya give up by signing, in one sentence from this morning's reading?

Push further: the guarantee demand is the supplier answering Move 3's map — lawfully, politely, completely. If the founders sign, what was the company form for? If they refuse, should anyone supply Ember again?

— Every board decides. The next slide shows one decision built properly — to judge against, not to copy.

A DECISION IS AN ACT PLUS ITS CONDITIONS

Anyone can say "accept." A board says accept — on these terms, after these steps, with this cured.

The decision

Counter: take the renewal cut and Lena's release; accept exclusivity at **one** year with volumes tied to actual sales; **refuse blanket personal guarantees** — offer instead a single guarantee capped at the November balance, from Lena alone, expiring on payment.

Why that shape

November is Lena's exposure; her capped guarantee prices her own early signature without re-exposing the two who kept the rules. Blanket guarantees from all three would quietly repeal the company form — the one thing the founders bought in December.

The conditions

Before signature: the company formally assumes the November order through the proper organ, so its status stops being arguable. Alongside it: the 10k rule moves from the chat into the constitution, and signing authority above the threshold becomes two-founder. The file's cause, cured in the file's own settlement.

The defence question

Every decision must answer: **would this morning's offer have been made at all if your conditions had been in place from the start?** Here — with a real signing rule and a properly assumed order, the supplier would have had no lever for blanket guarantees. That is what "conditions cure the failure" means.

BOTH BANKS, ONE LESSON

Nothing in this decision needed exotic law. Assumption formalities differ by tradition; the governance cure — put the rule where the law can see it — is identical on both banks. When a cure is tradition-proof, it is usually the right one.

CARRY THIS INTO YOUR OWN FILE

Every board's dossier ends with an offer that arrived this morning — and every offer carries one term that outlives the dispute. Price the headline, then find that term. Your decision, with conditions, is the deliverable of the day.

THE WEEK'S JUDGMENT QUESTION

The company form protects whom — from whom?

Both readings are true at once, and running a company means holding both. The form is a shield for the people inside it and a set of promises to the people outside it — and every protection on one side is priced to the other.

The shield reading

- Limited liability exists so that ordinary people can attempt enterprise without betting their homes.
- Marco and Priya kept every rule and owe nothing more — that is the system working, not a loophole.
- Remove the shield and only the already-rich, or the reckless, start companies.

The promises reading

- The shield is purchased with formalities: real registration, real capital, real organs, a register strangers can trust.
- The supplier's guarantee demand is the market repricing a shield the founders wanted for free.
- Skip the formalities and the law's sympathy moves outside — to the person who trusted the paperwork.

THE HONEST TENSION

Ember's founders wanted the shield's protection and the chat's informality, and the whole story is the bill for wanting both. A board that cannot say which promises its own company has actually kept — formalities observed, organs real, register accurate — does not yet know what its shield is worth.

CARRY THIS INTO YOUR OWN FILE

In every one of the ten dossiers, the form worked and somebody's use of it failed. Your board's first question after the break is not "what happened to us?" — it is "which of our promises was theatre?"

THIS WEEK'S DECLARED ROLE

Research assistant. It maps the rules of your company's form. It does not make your board's decision — and it will offer to.

USE IT FOR

The rules

What law creates your form; what it says about the mechanism in your file; which organ or person could validly have done the act — and what follows because it was done anyway.

DISTRUST IT ON

Jurisdiction

Company law is national law, and the tool answers in a Delaware or London accent. For most of this room, that accent is wrong. Make it say **where** each rule is true, and for **which form**.

NEVER ACCEPT

A verdict

The questions arrive later, on paper, in postures the tool has never seen. If it volunteers a recommendation, write it down and keep it — you will be asked where you disagreed.

THE HABIT BEGINS — AND IT IS HANDED IN

Ask AI, then disagree: the handwritten paragraph (150–200 words), announced last week, due today, individually assessed. What you asked, what it said, where your judgement departed from it.

NEW WITH IT · THE JURISDICTION LINE

One running line, kept as you go, in your own hand: every proposition the tool states as fact, tagged with the country and the legal form it is true for. A rule of company law that has lost its jurisdiction is not a rule — it is a rumour. One of the questions you have not seen yet asks you to read your line back against your own answer.

WHERE WE LEFT THEM

Last week the room argued what Northwind should do. Nobody asked who "Northwind" is. This week that is the first question.

The structure, revealed	What each entity is	What each entity did
Northwind Industries (home country)	The parent: a company incorporated at home, owner of the group's shares and brand, seat of the main board.	Discharges nothing. Its country bans the effluent; its operations comply.
Northwind Operations (plant country)	A separately incorporated subsidiary: local form, local board, locally licensed. The parent holds its shares.	Operates the plant. The discharge is its act — permitted, monitored, lawful where it stands.
"Northwind" (the name on everything)	A brand and a group — and not a legal person at all.	Signed nothing, decided nothing, owes nothing. Only companies can.

AND THE LETTER

The junior manager's letter — the objection on conscience — was addressed to "the board of Northwind." Both boards have now read it. The parent board says operations belong to the subsidiary. The subsidiary board says standards belong to the group. Each is pointing at a real company; each is also pointing away from itself.

RUN THE SPINE

Move 1: who is the actor of the discharge — and who would be the actor of stopping it? Move 2: what does each company's form and constitution let its board decide, and what belongs to the shareholder — who is, for the subsidiary, the parent itself? Move 3: if the downstream harm one day becomes a claim, where does it land — and does it climb?

THE DIAGRAM CHANGES THE QUESTION

Week 1's dilemma was moral. Week 2's machinery decides who is even entitled to answer it.

Move 1 · the actor

The discharge is the subsidiary's act, done by its organs under its licence. "Northwind pollutes" was Week 1's shorthand; the file behind it names a local company with its own board — and a parent whose act, so far, is only ownership.

Move 2 · the form

The subsidiary's board runs its operations and owes its duties to **its** company; the parent, as shareholder, holds the shareholder's levers — appoint, remove, resolve, instruct where the constitution allows. The parent can cause the standard to change; it must do it through the organs, not around them.

Move 3 · the liability

Salomon runs between companies too: the parent is not automatically liable for the subsidiary's lawful operations. But the shield has a known pressure point — a parent that takes over direction of the specific conduct, or publicly assumes responsibility for group standards, can acquire duties of its own. Control is a dial, and liability tends to follow the hand on it.

The letter, re-read

Addressed to "the board of Northwind" — a body that does not exist. That is not a defect in the manager's courage; it is the diagram doing what diagrams do: diffusing responsibility until nobody's inbox owns it. Move 4 exists to put a name back on it.

THE TRAP ON BOTH BANKS

The legal reading tempts a clean conclusion: the parent is shielded, the subsidiary is compliant, file closed. Notice what that conclusion quietly decides — that the diagram answers the conscience question. Week 1 already showed you it does not. The law places the liability; it has never yet placed the responsibility.

TO JUDGE AGAINST, NOT TO REQUIRE

The decision, built twice — because there are two defensible answers and choosing between them is the decision.

Route A · adopt the home standard, group-wide

The parent board resolves a single discharge standard for the group — the stricter one — and instructs through the organs: shareholder resolution, subsidiary board adoption, then the work. Conditions: a phased timetable with dated milestones; funded budget before announcement; independent verification of each phase; the junior manager answered in writing, by name, by the parent board.

Route B · keep local compliance, govern it honestly

The subsidiary continues within its permit — and the group stops hiding behind the diagram. Conditions: independent monitoring published on a schedule; a defined trigger (evidence of downstream harm, or regulatory movement in either country) that forces Route A automatically; the decision minuted at parent level, owned, and reviewed annually.

Which one, and why

Route A is the one to take. Not because the law requires it — it does not — but because Route B's honest version is barely cheaper: real monitoring, real triggers and real ownership cost most of what compliance-plus costs, while keeping the risk that the trigger fires late. When the honest version of the easy option costs nearly the hard option, the hard option is the bargain.

Notice what both routes share

Conditions with dates, money and organs attached. A "decision" without them is a press release. And in both, the decision is **owned at the parent** — the one thing the diagram was letting everyone avoid.

THE DEFENCE QUESTION EVERY BOARD ANSWERS

If your conditions had been in place from the start, **what would this morning have looked like — and would the letter ever have needed writing?** Carry that question into your own file: it is printed on your page.

HOW THE LAST BLOCK RUNS

Two things exist only on the page you are about to be handed.

The sorting question, and this morning's development. Neither could have been researched in Block C, because neither existed until now.

0 · The sorting

Two extracts, same family. Which one is this dispute actually about?

1–3 · The moves

Name the actor. Fit the form. Place the liability.

4 · Decide

With conditions, by hand — against this morning.

5 · The development

Accept, reject or counter — and name the term that outlives the dispute.

6 · Read your line

Your own jurisdiction line, against the answer you just built.

THREE CHAIRS ACROSS THE ROOM — FROM TODAY

Some boards press their case. Some argue the other side first. Some sit as the tribunal. You do not choose your chair — and remember it, because from next week it will never be the chair you sat in before.

HANDED IN AT THE END

Your decision, with its conditions. Your "Ask AI, then disagree" paragraph — 150 to 200 words, in your own hand, the first of the term. **Your jurisdiction line** — what the tool told you, and where each piece of it is actually true.

WHAT YOU SHOULD BE ABLE TO DO NOW

Read any signature and know, before anyone argues, which person it bound — and read any company and know which of its promises are real.

MOVE 1

"The company decided" hides three questions — which organ, with what power, carried by whose signature. Before registration, nobody is home, and the signer pays for the hope.

MOVE 2

A rule is only as strong as its document. Constitutions bind companies and every future holder; private pacts bind their signers; the statute's defaults govern everything nobody wrote.

MOVE 3

The veil holds, narrowly and on purpose — and the direct routes go around it: the early signer, the bound company, the insider who answers inward. The law chooses its losers and can say why.

MOVE 4

A decision is an act plus conditions — the ratification, the amendment, the verification, each with a date and an organ. Judged by one question: would this morning have happened at all?

YOUR BOARD CHALLENGE, BEFORE WE MEET AGAIN

Your company's legal skeleton is now fixed by its file. Its face is yours to build. As a board, decide three things and bring them in writing next week: **the trade name** your company will actually go to market under, **the one trademark** you would register first to protect it, and **the flagship product or service** it leads with. One page, signed by the whole board. Take it seriously — **Week 3 tests that product against its first regulator**, and everything you invent tonight will be lived with all term.

THE THREAD TO WEEK 3

Today built the person. Next week the person meets the state: Regulation & Compliance — who is allowed to sell what, to whom, under whose watch. Bring your product. The regulator is already waiting for it.